

Summary

- Forecast was finalised before a ceasefire was agreed in the Middle East conflict. The consequences of the war for the global and UK economies will be stagflationary.
- Higher energy prices to drive UK CPI inflation towards 4% by end-2026, with second-round effects extending the impact into 2027. GDP growth to slow to 0.5% in 2026, recovering in later years.
- Bank of England to balance above-target inflation and weak activity, leaving rates unchanged through 2026.

Conditioning assumptions

- High spot energy prices to fall back, but a premium over pre-conflict futures pricing to persist over the longer term.
- Reordering of global economic relations sees a drift towards further deglobalisation and financial market fragmentation.
- UK macroeconomic framework, both monetary and fiscal, remains in place over the forecast.
- Limited short-term change in productivity growth and employment from AI technologies, while recognising the wide range of possible outcomes.

Group Economics

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UK Macro, annual average	2025	2026	2027	2028
GDP growth	1.3	0.5	1.2	1.5
<i>Latest consensus¹</i>		0.7	1.2	1.3
Unemployment rate	4.9	5.5	5.4	5.0
CPI inflation	3.4	3.4	2.6	1.8
UK Macro, end year ²	2025	2026	2027	2028
GDP growth	1.0	0.7	1.6	1.5
Unemployment rate	5.2	5.6	5.2	4.8
<i>Latest consensus¹</i>		5.4	5.2	5.0
CPI inflation	3.4	3.9	1.8	1.9
<i>Latest consensus¹</i>		3.1	2.1	2.2
House prices	0.4	0.7	1.4	1.9
Global Macro, annual average	2025	2026	2027	2028
GDP growth	3.1	2.5	2.5	2.6
CPI inflation	4.4	4.6	3.8	3.4
UK Interest Rates, end year	2025	2026	2027	2028
Bank Rate	3.75	3.75	3.50	3.50
2y yields	3.75	3.93	3.96	4.03
10y yields	4.49	4.75	4.67	4.60
Exchange Rates, end year	2025	2026	2027	2028
GBP USD	1.35	1.35	1.37	1.36
GBP EUR	1.15	1.16	1.16	1.16
Global Interest Rates, end year	2025	2026	2027	2028
Fed Funds Upper Bound	3.75	3.50	3.50	3.75
US 10y yield	4.17	4.37	4.56	4.60

Source: LBG, position as of 31/03/2026 and disclosed in LBG's Q1 2026 financial reporting.

¹ Median consensus as of HMT's 'Forecasts of the UK economy', April 2026.

² Q4/Q4 for GDP, CPI and house prices; Q4 for unemployment rate.

Known unknowns

- Duration of conflict-related disruptions to energy markets and global supply chains.
- Financial market risks associated with equity market over-valuation and political instability.
- Precise levels of public debt burdens where funding becomes problematic.
- Influence of structural increases in business costs on the UK's 'equilibrium' rate of unemployment.
- Lack of clarity on UK labour market, given the divergence between surveys and official LFS data.

International context

Our latest economic outlook reflects information available up to 31 March 2026. Since our previous update, the key development has been an escalation in the Middle East conflict. The Strait of Hormuz remains effectively blocked and wider regional escalation has damaged energy facilities. Disruption to energy supply is the primary channel through which global economies and markets have been affected so far.

Pakistan is mediating talks between the US and Iran. However, there remains concern regarding the fragility of the current pause in hostilities. A durable ceasefire is still uncertain given the respective belligerents' preferred outcomes remain far apart. A range of outcomes remains possible, and the global outlook depends heavily on how the conflict and resulting supply disruptions evolve.

Our baseline view assumes energy prices ease from their late-March peaks, implicitly consistent with a de-escalation scenario. Over the longer term, we build in deviations from prevailing futures pricing to recognise that capacity damaged in the conflict will be slow to be replaced and a risk premium is likely to remain for Gulf-sourced gas and oil in the future. We assume a larger and more persistent impact for natural gas than oil, given the impacts to global supply capacity from energy installation attacks to date. Impacts will be not confined to energy, but implications for food prices and global supply chains more generally will become clearer over time. It remains our view that the global geopolitical backdrop remains tilted towards deglobalisation and will therefore be a headwind to price dynamics in economies such as the UK.

Prior to the escalation in conflict, the global economy appeared resilient in the face of elevated uncertainty and an introduction of Liberation Day tariffs last year. Stronger 2025 outcomes in the US and Eurozone, alongside Japan's announced fiscal stimulus, pointed to firmer growth momentum heading into 2026.

The US Supreme Court ruling in February against IEEPA-based tariffs has slowed the reshaping of global trade. A 10% import duty under Section 122 has instead taken effect, for now lowering the average effective tariff rate versus the prior framework and reducing the discretion for changes. Until the expiration of Section 122 in July, some countries benefit from the suspension of earlier tariff structures. But with Section 301 investigations in train, we assume a mix of measures – under Sections 301 and 232 – will push the effective tariff rate back towards pre-ruling levels over time.

Overall, we deem recent geopolitical developments as a headwind to global growth, enough to offset the positive dynamics emerging at the start of the year. The global economy is expected to grow by 2.5% in both 2026 and 2027. Meanwhile, inflation risks are expected to delay the loosening phase of the global monetary policy cycle.

UK outlook

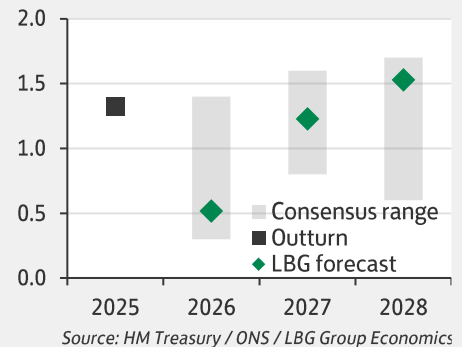
Domestically, higher global energy prices (Chart 1) are anticipated to raise inflation, drag on economic activity and sustain a higher unemployment rate.

Prior to the conflict, preliminary data indicated that the UK economy ended 2025 with limited momentum. However, data released since the finalisation of our outlook point to a more positive tone at the start of 2026. Monthly GDP data posted gains of +0.2% and +0.5% across January and February respectively. Nonetheless, we interpret these data releases with caution, given that they largely precede the most significant developments in the Middle East conflict. Moreover, the brisk pace of gains is not consistent with the milder improvement in survey indicators.

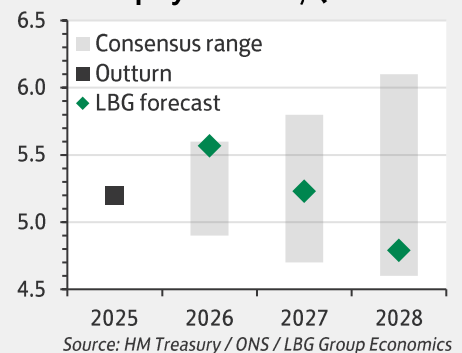
Labour market data also give conflicting signals on the pre-conflict jobs market. The unemployment rate reached 5.2% in the three months to January, rising a little faster than had been hoped. The driver appears to be improving labour market participation, with a rising number of working-age individuals able and actively seeking work. Correspondingly, a decline in the unemployment rate to 4.9% in the three months to February reflected a drop in the participation rate and was not corroborated by data throughout the broader labour market report. As such we interpret it as noise rather than a signal of a widespread improvement in conditions. Meanwhile, payroll data point to a waning impact on hiring from last year's increases in NICs and minimum wage costs, but employment growth on this measure is broadly flat. High-frequency indicators suggest redundancy volumes remain broadly stable, implying recent increases in unemployment are more associated with slower hiring rather than outright job losses.

Forecast comparison

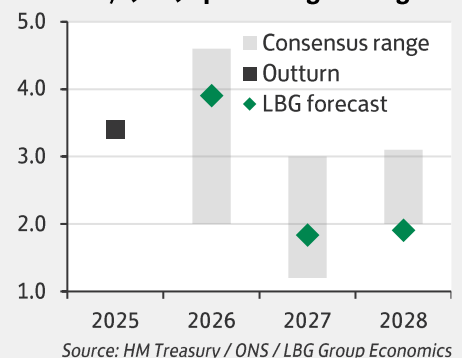
UK GDP annual percentage change



UK unemployment rate, Q4



UK CPI, Q4/Q4 percentage change



The impacts of the conflict are expected to drive prices higher across the economy. The mechanism through which it does so can be split into three broad categories: direct (e.g. higher petrol prices); indirect (e.g. as higher energy costs for businesses are passed through); and second-round effects (e.g. higher inflation expectations).

For households, the immediate exposure is through fuel and energy bills. Signs of the impact of higher energy prices were present in the March inflation report, reporting a +0.3ppt rise in the headline rate to 3.3%. Movements in motor fuel and heating oil prices and upticks in household and business inflation expectations surveys (Chart 2) imply this is likely to be the start of the price impact across the economy, even if the upcoming CPI reports are likely to see little sustained upward pressure until data for July.

The impact on household energy bills will be delayed by the OFGEM price cap which, beginning with a first post-conflict reset in July, will not reach the same heights as during the 2022/23 cost of living squeeze. Given growth in household incomes since then, the result is a relatively smaller impact on household finances. The scale of indirect and second-round effects on inflation is more uncertain. We expect that the sum of these main drivers will add around 1.5ppts to price levels by end-26. However, based on our assumed pathway for market energy pricing, inflation should ease back towards its 2% target by 27Q3 as energy prices pressures recede.

A squeeze on real incomes and business profits alongside a hit to confidence will weigh on economic activity, delivering growth of just +0.5% and +1.2% in '26 and '27, respectively. Despite this expected squeeze, we do not assume there will be any substantive fiscal support for households or businesses this time. Household bills would be peaking lower than they did in 2022/23 and public finances are already stretched. We consider this consistent with the Chancellor's statement on 24th March and a fiscal situation that starts from a more strained fiscal position than in 2022. Although some targeted support cannot be ruled out, even the normal operation of fiscal stabilisers through the tax and benefit system as the economy weakens will reopen the debate around the fiscal rules as the Autumn Budget approaches.

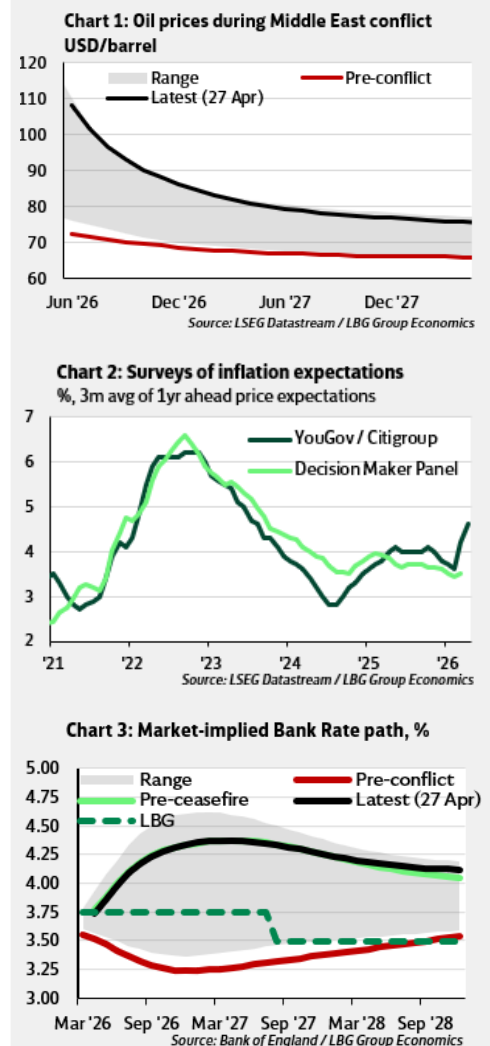
Our assumptions already anticipated a further increase in unemployment ahead of the conflict. A weaker conflict-induced growth outlook will deliver a more sustained rise in the unemployment rate. While the higher unemployment has come alongside a rise in the participation rate, increasing labour supply, we judge that the principal driver of the rise in unemployment over the last 18 months appears to have been associated with increased costs relating to changes in NICs and the national minimum wage. Increases in the tax wedge create the possibility that the higher unemployment will prove more structural than cyclical, making it less likely that it falls in future.

The prominent risk to the inflation outlook comes from second-round effects of higher inflation expectations on pay growth. Pay growth had been normalising at the start of the year with the three-month annualised rate of 2.5% in February, substantively lower than the 5.8% recorded one year prior. The passthrough of stronger inflation expectations to wage growth should be contained by weaker demand and a softer labour market, limiting employee bargaining power.

Weaker real incomes and around a 100bp increase in the typical mortgage rate since February should, all else equal, weigh on house price growth this year. While the typical mortgage rate is so far close to the 2022/23 peak rates, the change in the rate has been much smaller than was experienced in 2022, suggesting a smaller payment shock. House price growth is therefore assumed to grow marginally slower, averaging +1% across '26 and '27.

Monetary policy

The impact of the war represents a supply shock, injecting renewed tension between the inflation and growth objectives in the setting of monetary policy. Swings in market pricing have seen market-implied Bank Rate expectations move from discounting around two 25bp cuts in 2026 to as many as four increases, and (at the time of writing) back to around two increases (Chart 3). While market views have shifted from looking solely at inflation impacts, we still see current pricing as insufficiently sensitive to the adverse implications for growth. While we expect the MPC will adopt hawkish messaging to guard against potential second-round effects, we see the MPC disappointing market expectations for rate increases, leaving Bank Rate unchanged through 2026. In 2027 we see Bank Rate returning to its assumed long-term 'neutral' rate of 3.50% once the anticipated impact of the energy shock subsides.





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